BOARD OF STUDIES
NEW SOUTH WALES

# 2011 HSC Economics Marking Guidelines

## Section I

### Multiple-choice Answer Key

| Question | Answer |
|---|---|
| 1 | C |
| 2 | A |
| 3 | C |
| 4 | D |
| 5 | A |
| 6 | B |
| 7 | C |
| 8 | A |
| 9 | D |
| 10 | C |
| 11 | B |
| 12 | D |
| 13 | C |
| 14 | B |
| 15 | B |
| 16 | B |
| 17 | D |
| 18 | D |
| 19 | B |
| 20 | C |

# Section II

## Question 21 (a)

| Criteria | Marks |
|---|---|
| • Sketches in general terms the role of the World Trade Organisation | 2 |
| • Demonstrates a limited understanding of the World Trade Organisation | 1 |

## Question 21 (b)

| Criteria | Marks |
|---|---|
| • Identifies a disadvantage of a bilateral trade agreement and provides a sound reason why it is a disadvantage | 3 |
| • Sketches in general terms ONE disadvantage of bilateral trade agreements | 2 |
| • Demonstrates a limited understanding of bilateral trade agreements | 1 |

## Question 21 (c)

| Criteria | Marks |
|---|---|
| • Clearly demonstrates a thorough understanding of relevant government strategies and their relationship to the international business cycle in an economy other than Australia | 5 |
| • Demonstrates a sound understanding of relevant government strategies and their relationship to the international business cycle in an economy other than Australia | 4 |
| • Demonstrates some understanding of relevant government strategies used in an economy other than Australia, with some reference to the international business cycle | 3 |
| • Sketches in general terms government strategies used in an economy other than Australia, with some reference to the international business cycle | 2 |
| • States any government strategy used in an economy other than Australia | 1 |

## Question 22 (a) (i)

| Criteria | Marks |
|---|---|
| • Correctly states the change in the value of the current account balance from Year 1 to Year 2 | 2 |
| • Correctly states the change in the direction of the current account balance<br>OR<br>• Correctly states the value of the current account balance | 1 |

**Question 22 (a) (ii)**

| Criteria | Marks |
|---|---|
| • Sketches in general terms ONE factor that may have caused an increase in the Net Income component of the current account | 2 |
| • Correctly states that the Net Income component increased<br>OR<br>• Demonstrates a limited understanding of ONE cause of a change in the Net Income component of the current account | 1 |

**Question 22 (a) (iii)**

| Criteria | Marks |
|---|---|
| • Sketches in general terms ONE factor that may have caused an increase in the Imports component of the current account | 2 |
| • Correctly states that Imports increased<br>OR<br>• Demonstrates a limited understanding of ONE cause of a change in Imports | 1 |

**Question 22 (b)**

| Criteria | Marks |
|---|---|
| • Demonstrates a clear understanding of the reasons for Australia's persistently high current account deficit | 4 |
| • Demonstrates a sound understanding of the reason for Australia's persistently high current account deficit | 3 |
| • Sketches in general terms some understanding of the reasons for Australia's persistently high current account deficit | 2 |
| • States an aspect of why Australia has a persistently high current account deficit | 1 |

**Question 23 (a)**

| Criteria | Marks |
|---|---|
| • Correctly states the participation rate for this economy | 1 |

**Question 23 (b)**

| Criteria | Marks |
|---|---|
| • Clearly recognises the difference between an award and an enterprise agreement | 2 |
| • States meaning of either an award OR an enterprise agreement<br>OR<br>• Demonstrates limited understanding of an award and an enterprise agreement | 1 |

**Question 23 (c)**

| Criteria | Marks |
|---|---|
| • Demonstrates a clear and thorough understanding of how ONE labour market policy may influence the level of structural unemployment | 3 |
| • Sketches in general terms how ONE labour market policy may influence the level of structural unemployment | 2 |
| • States ONE labour market policy that may influence the level of structural unemployment | 1 |

**Question 23 (d)**

| Criteria | Marks |
|---|---|
| • Demonstrates a clear understanding of the advantages of a decentralised system of wage determination on the level of economic activity | 4 |
| • Demonstrates a sound understanding of the advantages of a decentralised system of wage determination on the level of economic activity | 3 |
| • Sketches in general terms the advantages of a decentralised system of wage determination<br>OR<br>• Demonstrates a sound understanding of ONE advantage of a decentralised system of wage determination on the level of economic activity | 2 |
| • States an advantage of a decentralised system of wage determination | 1 |

**Question 24 (a)**

| Criteria | Marks |
|---|---|
| • Correctly states the meaning of a public good | 2 |
| • Demonstrates a limited understanding of the meaning of a public good | 1 |

## Question 24 (b)

| Criteria | Marks |
|---|---|
| • Demonstrates a sound understanding of how market failure may affect the preservation of the natural environment | 3 |
| • Sketches in general terms how market failure may affect the preservation of the natural environment | 2 |
| • Demonstrates a limited understanding of market failure and/or its effects on the preservation of the natural environment<br>OR<br>• States any feature of market failure or its effects on the preservation of the natural environment | 1 |

## Question 24 (c)

| Criteria | Marks |
|---|---|
| • Clearly demonstrates a thorough understanding of how regulations and market-based policies can be used to manage the environment | 5 |
| • Clearly demonstrates a sound understanding of how regulations and market-based policies can be used to manage the environment<br>OR<br>• Clearly demonstrates a thorough understanding of how EITHER regulations OR market-based policies can be used to manage the environment and the other is a sound understanding | 4 |
| • Demonstrates a sound understanding of how regulations and market-based policies can be used to manage the environment<br>OR<br>• Demonstrates a thorough understanding of how EITHER regulations OR market-based policies can be used to manage the environment | 3 |
| • Sketches in general terms how regulations and market-based policies can be used to manage the environment<br>OR<br>• Demonstrates a sound understanding of EITHER regulations OR market-based policies can be used to manage the environment | 2 |
| • Lists any regulations and/or market-based policies that can be used to manage the environment | 1 |

# Section III

## Question 25

| Criteria | Marks |
|---|---|
| • Synthesises own knowledge and understanding with information provided to develop a sustained, logical and cohesive response<br>• Extensive integration of relevant economic terms, concepts, relationships and theory<br>• Provides clear and comprehensive arguments identifying how fiscal policy affects economic activity and income distribution in the Australian economy | 17–20 |
| • Synthesises own knowledge and understanding with information provided to develop a logical and cohesive response<br>• Integrates relevant economic terms, concepts, relationships and theory<br>• Provides sound arguments identifying how fiscal policy affects economic activity and income distribution in the Australian economy<br>OR<br>• Clearly and comprehensively identifies how fiscal policy affects EITHER economic activity OR income distribution in the Australian economy and sketches in general terms arguments for the other | 13–16 |
| • Uses own knowledge and understanding with information provided to develop a coherent response<br>• Applies economic terms, concepts and relationships<br>• Sketches in general terms how fiscal policy affects economic activity and income distribution in the Australian economy<br>OR<br>• Provides sound arguments identifying how fiscal policy affects EITHER economic activity OR income distribution in the Australian economy | 9–12 |
| • Uses information to develop a generalised response<br>• Uses some economic terms, concepts and relationships<br>• States some aspects of how fiscal policy affects economic activity and income distribution in the Australian economy<br>OR<br>• Sketches in general terms how fiscal policy affects EITHER economic activity OR income distribution in the Australian economy | 5–8 |
| • Presents a limited response<br>• Uses some economic terms and/or concepts<br>• List any affects of fiscal policy on EITHER economic activity OR income distribution in the Australian economy | 1–4 |

## Question 26

| Criteria | Marks |
|---|---|
| • Synthesises own knowledge and understanding with information provided to develop a sustained, logical and cohesive response<br>• Extensive integration of relevant economic terms, concepts, relationships and theory<br>• Provides clear and comprehensive arguments identifying how monetary policy affects inflation and unemployment in the Australian economy | 17–20 |
| • Synthesises own knowledge and understanding with information provided to develop a logical and cohesive response<br>• Integrates relevant economic terms, concepts, relationships and theory<br>• Provides sound arguments identifying how monetary policy affects inflation and unemployment in the Australian economy<br>OR<br>• Clearly and comprehensively identifies how monetary policy affects EITHER inflation OR unemployment in the Australian economy and sketches in general terms arguments for the other | 13–16 |
| • Uses own knowledge and understanding with information provided to develop a coherent response<br>• Applies economic terms, concepts and relationships<br>• Sketches in general terms how monetary policy affects inflation and unemployment in the Australian economy<br>OR<br>• Provides sound arguments identifying how monetary policy affects EITHER inflation OR unemployment in the Australian economy | 9–12 |
| • Uses information to develop a generalised response<br>• Uses some economic terms, concepts and relationships<br>• States some aspects of how monetary policy affects inflation and unemployment in the Australian economy<br>OR<br>• Sketches in general terms how monetary policy affects EITHER inflation OR unemployment in the Australian economy | 5–8 |
| • Presents a limited response<br>• Uses some economic terms and/or concepts<br>• List any effects of monetary policy on EITHER inflation AND/OR unemployment in the Australian economy | 1–4 |

# Section IV

## Question 27

| Criteria | Marks |
|---|---|
| • Extensive integration of relevant economic terms, concepts, relationships and theories<br>• Provides comprehensive economic information in a sustained, logical and cohesive response<br>• Provides clear and comprehensive arguments identifying points for and/or against how microeconomic reform affects product and factor markets in the Australian economy | 17–20 |
| • Integrates relevant economic terms, concepts, relationships and theories<br>• Provides sound economic information in a logical and cohesive response<br>• Provides sound arguments identifying points for and/or against how microeconomic reform affects product and factor markets in the Australian economy<br>OR<br>• Clearly and comprehensively identifies points for and/or against how microeconomic reform affects EITHER product OR factor markets in the Australian economy and sketches in general terms arguments for the other | 13–16 |
| • Applies economic terms, concepts and relationships<br>• Develops a coherent response<br>• Sketches in general terms points for and/or against how microeconomic reform affects product and factor markets<br>OR<br>• Provides sound arguments identifying points for and/or against how microeconomic reform affects EITHER product OR factor markets | 9–12 |
| • Uses some economic terms, concepts and relationships<br>• Develops a generalised response<br>• States some aspects of microeconomic reform and the effect on product markets and factor markets<br>OR<br>• Sketches in general terms points for and/or against how microeconomic reform affects EITHER product OR factor markets | 5–8 |
| • Use some economic terms and/or concepts<br>• Presents a limited response<br>• Lists any microeconomic reforms and/or effect on EITHER product OR factor markets | 1–4 |

## Question 28

| Criteria | Marks |
|---|---|
| • Extensive integration of relevant economic terms, concepts, relationships and theories<br>• Provides comprehensive economic information in a sustained, logical and cohesive response<br>• Provides clear and comprehensive arguments identifying points for and/or against how changes in the domestic and global economy impact on Australia's exchange rate | 17–20 |
| • Integrates relevant economic terms, concepts, relationships and theories<br>• Provides sound economic information in a logical and cohesive response<br>• Provides sound arguments identifying points for and/or against how changes in the domestic and global economy impact on Australia's exchange rate<br>OR<br>• Clearly and comprehensively identifies points for and/or against how changes in EITHER the domestic economy OR global economy impacts on Australia's exchange rate and sketches in general terms arguments for the other | 13–16 |
| • Applies economic terms, concepts and relationships<br>• Develops a coherent response<br>• Sketches in general terms points for and/or against how changes in the domestic and global economy impacts on Australia's exchange rate<br>OR<br>• Provides sound arguments identifying points for and/or against how changes in EITHER the domestic OR global economy impact on Australia's exchange rate | 9–12 |
| • Uses some economic terms, concepts and relationships<br>• Develops a generalised response<br>• States some aspects of domestic and global economy and the impacts on Australia's exchange rates<br>OR<br>• Sketches in general terms points for and/or against how changes in EITHER the domestic OR global economy impacts on Australia's exchange rate<br>OR<br>• Provides arguments for the impact of changes in the Australian exchange rate on the domestic and/or global economy | 5–8 |

| | |
|---|---|
| • Use some economic terms and/or concepts<br>• Presents a limited response<br>• Lists any effects of the domestic and/or global economy on Australia's exchange rate<br>OR<br>• Lists any effects on the global and/or domestic economy of changes in the Australian exchange rate | 1–4 |

# Economics

## 2011 HSC Examination Mapping Grid

**Section I**

| Question | Marks | Content | Syllabus outcomes |
|---|---|---|---|
| 1 | 1 | Topic 1 – Globalisation | H1, H4 |
| 2 | 1 | Topic 4 – Income inequality policy | H1, H5 |
| 3 | 1 | Topics 3 and 4 – Government policy and unemployment | H1, H5 |
| 4 | 1 | Topic 3 – Economic growth | H1, H11 |
| 5 | 1 | Topic 3 – Aggregate supply | H1, H2 |
| 6 | 1 | Topic 2 – Australia's trade | H1, H4 |
| 7 | 1 | Topic 3 – External stability (TOT) | H1, H11 |
| 8 | 1 | Topic 3 – Inflation | H1 |
| 9 | 1 | Topic 3 – Income distribution (Gini) | H1, H7 |
| 10 | 1 | Topic 2 – Exchange rates | H1, H4 |
| 11 | 1 | Topic 3 – External stability | H1 |
| 12 | 1 | Topic 4 – Government policy | H1, H6 |
| 13 | 1 | Topic 3 – Multiplier | H1, H11 |
| 14 | 1 | Topic 2 – Balance of payments | H1, H7 |
| 15 | 1 | Topic 2 – Balance of payments | H1, H11 |
| 16 | 1 | Topic 4 – Government policy | H1, H6 |
| 17 | 1 | Topic 1 – Protection | H1, H11 |
| 18 | 1 | Topic 1 – Economic development | H1 |
| 19 | 1 | Topic 4 – Fiscal Policy | H1, H6 |
| 20 | 1 | Topic 3 – Environmental sustainability | H1, H7 |

**Section II**

| Question | Marks | Content | Syllabus outcomes |
|---|---|---|---|
| 21 (a) | 2 | Topic 1 – WTO | H1 |
| 21 (b) | 3 | Topic 1 – Trade agreements | H1, H2 |
| 21 (c) | 5 | Topic 1 – Case study | H1, H2, H4, H5, H8, H10 |
| 22 (a) (i) | 2 | Topic 2 – Current account | H1, H11 |
| 22 (a) (ii) | 2 | Topic 2 – Net income | H1, H4 |
| 22 (a) (iii) | 2 | Topic 2 – Imports | H1, H4 |
| 22 (b) | 4 | Topic 3 – External stability | H1, H4 |
| 23 (a) | 1 | Topic 3 – Employment | H1, H11 |
| 23 (b) | 2 | Topic 4 – Labour policy | H1, H2 |
| 23 (c) | 3 | Topic 4 – Labour policy | H1, H2, H5, H7 |
| 23 (d) | 4 | Topic 4 – Labour policy | H1, H2, H5, H7, H10 |
| 24 (a) | 2 | Topic 3 – Public good | H1 |
| 24 (b) | 3 | Topic 3 – Market failure | H1, H2, H7 |
| 24 (c) | 5 | Topic 4 – Environmental management | H1, H2, H5, H7, H10 |

**Section III**

| Question | Marks | Content | Syllabus outcomes |
|---|---|---|---|
| 25 | 20 | Topic 3 – Economic issues;<br>Fiscal policy – income distribution/economic activity<br>Topic 4 – Economic policies | H1, H2, H6, H9, H10 |
| 26 | 20 | Topic 3 – Economic issues; Monetary policy, inflation/unemployment<br>Topic 4 – Economic policies and management | H1, H2, H6, H9, H10 |

**Section IV**

| Question | Marks | Content | Syllabus outcomes |
|---|---|---|---|
| 27 | 20 | Topic 4 – Economic policies and management: Microeconomic reform | H1, H2, H6, H10 |
| 28 | 20 | Topic 1– The Global economy<br>Topic 2 – Australia's place in the Global economy: Exchange rates | H1, H3, H4, H8, H10 |